Please check the examination details below before entering your candidate information

Candidate surname	Other names

Centre Number | Candidate Number

Pearson Edexcel International GCSE

Wednesday 30 October 2024

Morning (Time: 2 hours)

Paper reference **4AC1/01**

Accounting

Level 1/2

PAPER 1: Introduction to Bookkeeping and Accounting

You do not need any other materials.

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided
  – *there may be more space than you need.*
- Calculators may be used.

Information

- The total mark for this paper is 100.
- The marks for **each** question are shown in brackets
  – *use this as a guide as to how much time to spend on each question.*

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ▶

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SECTION A

Answer ALL questions. Write your answers in the spaces provided.

For questions 1–10, choose an answer A, B, C or D, and put a cross in the box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

1 Identify where the account of a credit customer is maintained.

- ☒ **A** General journal
- ☒ **B** General ledger
- ☒ **C** Payables ledger
- ☒ **D** Receivables ledger

(Total for Question 1 = 1 mark)

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2 Identify when a business would issue a credit note.

- ☒ **A** Goods returned by a cash customer
- ☒ **B** Goods returned by a credit customer
- ☒ **C** Goods sold to a cash customer
- ☒ **D** Goods sold to a credit customer

(Total for Question 2 = 1 mark)

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3 Identify what an opening debit balance of $1 500 in a business bank account represents.

- ☒ **A** Business has an overdraft of $1 500
- ☒ **B** Business has $1 500 in the bank
- ☒ **C** Owner's equity is $1 500
- ☒ **D** Owner's equity is $3 000

(Total for Question 3 = 1 mark)

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4 Identify which transaction would cause a contra entry to be recorded in a three-column cash book.

- ☒ **A** Cash drawings made by the owner
- ☒ **B** Cash paid into the bank account
- ☒ **C** Cash used to pay business expenses
- ☒ **D** Cash used to restore petty cash

(Total for Question 4 = 1 mark)

5 Identify which transaction would affect a business's profit.

- ☒ **A** Sale of a non-current asset at book value
- ☒ **B** Settlement of a business debt with discount
- ☒ **C** Settlement of a business debt in full
- ☒ **D** Transfer of cash to the bank account

(Total for Question 5 = 1 mark)

6 Identify which method of payment applies when a business instructs its bank to make a fixed payment of $200 to its energy provider each month.

- ☒ **A** Cheque
- ☒ **B** Credit transfer
- ☒ **C** Direct debit
- ☒ **D** Standing order

(Total for Question 6 = 1 mark)

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7 Identify which item would appear in a bank reconciliation statement.

- ☒ **A** Bank charges
- ☒ **B** Direct debit
- ☒ **C** Standing order
- ☒ **D** Unpresented cheque

(Total for Question 7 = 1 mark)

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8 Identify which of the following pairs of accounts would **always** have debit balances.

- ☒ **A** Assets and expenses
- ☒ **B** Equity and expenses
- ☒ **C** Income and assets
- ☒ **D** Liabilities and income

(Total for Question 8 = 1 mark)

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9 Identify which accounting concept is described in the statement.

'Financial transactions of a similar nature should be recorded in the same way each year.'

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 9 = 1 mark)

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10 Identify which account would appear on the credit side of a trial balance.

- ☒ **A** Carriage inwards
- ☒ **B** Carriage outwards
- ☒ **C** Discount allowed
- ☒ **D** Discount received

(Total for Question 10 = 1 mark)

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11 (a) State the name of the book of original entry used to record:

(2)

cash sales

credit sales.

(b) State the name of the document a business would send to a customer at the end of each month requesting payment.

(1)

(c) State **one** reason why a business would offer its customers:

(2)

trade discount

cash discount.

(Total for Question 11 = 5 marks)

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12 (a) State the accounting equation.

(1)

(b) Complete the following table.

(3)

Assets $	Liabilities $	Equity $
	20 000	60 000
150 000		95 000
80 000	18 000	

(c) State the effect on the accounting equation of a business when purchasing a motor vehicle on credit.

(1)

(Total for Question 12 = 5 marks)

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13 (a) State **two** stakeholders that may be interested in the financial statements of a business.

(2)

1 .....

2 .....

(b) State **two** benefits to a business of using a computerised accounting package.

(2)

1 .....

2 .....

(c) State **one** characteristic of a public sector organisation.

(1)

.....

(Total for Question 13 = 5 marks)

TOTAL FOR SECTION A = 25 MARKS

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SECTION B

Answer ALL questions. Write your answers in the spaces provided.

14 (a) State **two** purposes of maintaining a petty cash book.

(2)

1 .....

.....

2 .....

.....

Rita maintains a full set of accounting records including a petty cash book which has a float of $200

On 1 March 2024, the balance of the petty cash book was $155. On that day the float was restored.

(b) State the double entry for the transaction on 1 March 2024.

(4)

Account to be debited	$	Account to be credited	$

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On 1 March 2024, the balance on the travel expenses account was $80

During the month of March 2024, petty cash payments for travel totalled $40

(c) Prepare the travel expenses account for the month of March 2024. Balance the account on 31 March 2024 and bring the balance down on 1 April 2024.

(3)

Travel Expenses Account

Date	Details	$	Date	Details	$

On 31 March 2024, the total amount of cash in the petty cash box did not match the balance of the petty cash book.

(d) State **one** reason why this might have been the case.

(1)

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On 31 March 2024, the main cash book was balanced and showed balances of:

- cash $360
- bank $4 600 (Cr).

Rita checked the bank balance with that shown on her online bank account which showed a different balance.

Rita identified the following transactions which she believed may have contributed to the difference.

- A receipt, $320 from Volter, a credit customer, had been paid directly into her bank account.
- The bank had charged her its monthly management fee of $50
- The bank had made a regular direct debit payment for rent, $575
- The takings from the last day of the month, $3 200, had not been processed by the bank.
- A cheque, $2 300, received earlier in the month from Lo Traders, had been dishonoured by the bank.

(e) Prepare the updated bank account at 31 March 2024. Balance the account on this date and bring the balance down on 1 April 2024.

(5)

Bank Account

Date	Details	$	Date	Details	$
Mar 31			Mar 31		

(Total for Question 14 = 15 marks)

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15 On 31 May 2024, Hassan identified the following errors.

Error	
1	An invoice from a supplier, $215, had been entered in the purchases day book as $251
2	Motor expenses, $76, had been posted to the motor vehicles account.
3	No entries had been made for goods, cost $850, taken by Hassan for his own use.
4	Sales, $890, to Mali had been posted to the account of Marley.
5	Additional equity introduced by Hassan, $3 500, had been debited to the equity account and credited to the bank account.

(i) State the type of error in **each** scenario.

(5)

Error	Type of error
1	
2	
3	
4	
5	

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(ii) Prepare journal entries to correct **all** errors. Narratives are **not** required.

(10)

Journal

Date	Account	Debit $	Credit $
May 31			

(Total for Question 15 = 15 marks)

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16 Saima maintains a full set of books of original entry and produces control accounts on a monthly basis.

On 1 April 2024, the balances on her trade payables ledger control account were:

$6 700 Cr

$350 Dr.

(a) State **two** reasons why a business may have a debit balance on its trade payables ledger control account.

(2)

1 .....

.....

2 .....

.....

Saima provided the following information for the month of April 2024.

	$
Cash purchases	763
Discounts allowed	387
Discounts received	477
Payments to credit suppliers	34 678
Purchases day book total	48 450
Purchases returns day book total	5 976
Receivables ledger set off	350
Refunds from credit suppliers	4 521

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(b) (i) Prepare the trade payables ledger control account for the month of April 2024. Balance the account on 30 April 2024 and bring the balance down on 1 May 2024.

(8)

Trade Payables Ledger Control Account

Date	Details	$	Date	Details	$

(ii) State what the balance on the trade payables ledger control account on 1 May 2024 represents.

(1)

.....

.....

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(c) Explain **one** reason why the information used to prepare the trade payables ledger control account is obtained from the books of original entry and not the trade payables ledger.

(2)

(d) Explain **one** reason why the trade payables ledger control account and the trade payables ledger may be maintained by different members of staff.

(2)

(Total for Question 16 = 15 marks)

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17 Sunal has been in business for some years but has never maintained a full set of accounting records.

On 1 July 2023, he identified that his assets and liabilities were as follows.

	$
Bank overdraft	1 200
Inventory	8 162
Machinery	25 000
Other payables	542
Petty cash	250
Premises	65 000
Trade payables	4 900
Trade receivables	8 230

(a) Prepare an opening journal entry on 1 July 2023. A narrative **is** required.

(4)

Journal

Date	Account	Debit $	Credit $
Jul 1			

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During the year ended 30 June 2024:

- Sunal purchased additional machinery, $5 000, on credit from AC Engineering
- irrecoverable debts, $650, were written off.

(b) Prepare journal entries to record the **two** transactions. Narratives **are** required.

(6)

Journal

Date	Account	Debit $	Credit $
Jun 30			
Jun 30			

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(c) Advise Sunal of **two** benefits to his business of maintaining a trial balance.

(5)

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18 On 1 July 2024, Javid installed a new IT system in his premises in order to meet the demand for online shopping.

This project incurred the following costs.

	$
Redesign of premises to accommodate the new servers	20 000
Cost of computer network	34 000
Installation costs of the computer equipment	5 000
Five-year maintenance contract for the network	3 000 per annum
Training costs for IT staff on how to operate the network	12 000
Training costs for delivery staff	4 500

(a) Calculate the **total amount** of:

(i) capital expenditure

(5)

(ii) revenue expenditure.

(3)

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(iii) Explain your treatment of the cost of the redesign of the premises to accommodate the new servers.

(2)

(b) Explain the importance of the correct treatment of capital expenditure and revenue expenditure.

(5)

(Total for Question 18 = 15 marks)

TOTAL FOR SECTION B = 75 MARKS
TOTAL FOR PAPER = 100 MARKS

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